

**FEDERAL MARITIME COMMISSION**

**Docket No. 23-13**

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**USL AUTO EXPORTING INC.,**  
**COMPLAINANT,**  
**v.**  
**EASY SHIPPING CORPORATION,**  
**RESPONDENT.**

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**COMPLAINANT'S BRIEF**

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Pursuant to the Scheduling Order on March 18, 2024, Complainant, USL AUTO EXPORTING INC. (hereinafter "Complainant"), by and through the undersigned manager, respectfully submits this COMPLAINANT'S BRIEF.

As detailed in the accompanying Memorandum of Law, there are no disputes of material fact that preclude the granting of a judgment in favor of Complainant. Consequently, Complainant seeks judgment on all counts outlined in the Verified Complaint.

DATED: June 20, 2024

Respectfully submitted,  
USL AUTO EXPORTING INC.,  
ANIS HOUSSEIN  
Vice President for COMPLAINANT

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# **MEMORANDUM OF LAW IN SUPPORT OF COMPLAINANT'S BRIEF**

## **I. INTRODUCTION**

This Brief is presented by USL AUTO EXPORTING INC. (hereinafter "Complainant") against EASY SHIPPING CORPORATION (hereinafter "Respondent") pursuant to the Scheduling Order on March 18, 2024. Complainant seeks a judicial determination affirming that Complainant is entitled to judgment on all counts.

Complainant contends that the Respondent's actions, characterized by a pattern of misrepresentations, regulatory non-compliance, and a lack of procedural integrity, have resulted in significant damages and contractual breaches, thereby justifying the need for a judgment for Complainant. The evidence and arguments, meticulously detailed in this Brief and supported by the PROPOSED FINDING OF FACT, clearly demonstrate the Respondent's violations of 46 U.S.C. § 41104(a)(3), and § 41102(c).

Complainant's case is further strengthened by addressing the numerous factual inaccuracies, contradictions, and procedural shortcomings in Respondent's statements and responses, particularly highlighted in Paragraphs Answer ¶¶ 16 and 19 of their response (Answer ¶¶ 19, 16). Respondent's reliance on disclaimers and general denials, as well as their failure to adhere to professional standards as a licensed freight forwarder, severely undermines their defense and credibility.

Complainant, in its pursuit of justice and regulatory compliance within the maritime shipping industry, respectfully submits this Brief to the Honorable Commission.

## **II. AUTHORITY**

### **A. 46 U.S.C. § 41102(c)**

This statute mandates that common carriers, marine terminal operators, and ocean transportation intermediaries must: "Establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." In *Hapag-Lloyd A.G. v. U.S.*, 486 F. Supp. 2d 202 (D.D.C. 2007). The court held that: "A practice is not 'just and reasonable' under 46 U.S.C. § 41102(c) if it is arbitrary, discriminatory, or not uniformly enforced."

### **B. 46 U.S.C. § 41104(c)**

This provision prohibits common carriers from: "Failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." In *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 2003 FMC LEXIS 20 (FMC 2003), the court held that the Federal Maritime Commission (FMC) determined that: "The failure to enforce reasonable practices for handling cargo can result in a violation of 46 U.S.C. § 41104(c) when such failures lead to discriminatory or unjust treatment of shippers." 46 CFR § 502.12

### **C. 19 CFR § 149.2**

This regulation outlines procedural rules for adjudications before the Federal Maritime Commission (FMC): "Details procedures for filing complaints, answers, and other pleadings, and the conduct of hearings." "Ensures that parties in maritime disputes adhere to a structured process to resolve conflicts efficiently." In *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 2012 FMC LEXIS 16 (FMC 2012), the commission held that "The FMC emphasized the

importance of procedural adherence: "Adherence to the procedural rules outlined in 46 CFR § 502.12 is crucial to ensure a fair and efficient adjudication process."

**D. 19 CFR § 149.2**

This regulation pertains to advance cargo information requirements: "Importer Security Filing (ISF) Requirements": Require importers to provide advance information about cargo destined for the United States to ensure security and facilitate efficient customs processing. "Compliance": Ensures that carriers and importers provide accurate and timely information about the cargo, thereby enhancing the integrity and security of shipping operations. In *United States v. Horizon Lines, LLC*, 2014 WL 3643249 (D.P.R. 2014) stated that the court highlighted the critical nature of compliance: "Compliance with 19 CFR § 149.2, specifically the Importer Security Filing requirements, is essential for maintaining the security and efficiency of U.S. cargo operations."

**E. FMC precedent interpreting**

The term "reasonable" in the context of Section 41102(c) has been interpreted as implying fairness, appropriateness, and non-excessiveness in practices that are otherwise lawful (*Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 1988 WL 340659 (FMC, 1988); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356 (FMC 2001)).

**F. Misrepresentations and Contradictions in Respondent's Statements**

The case of "*Matsushita Electric Industrial Co. v. Zenith Radio Corp.*, 475 U.S. 574 (1986)" underscores the necessity for inferences drawn from facts to be reasonable. In the

context of this case, Respondent's statements are riddled with misrepresentations and contradictions, significantly undermining any inferences that could be construed in their favor. According to the principles established in "*Matsushita*," such unreasonable inferences cannot form the basis of a genuine dispute.

Furthermore, "*Scott v. Harris*, 550 U.S. 372 (2007)" is critical in this context. This case is frequently referenced in summary judgment discussions, particularly regarding the assessment of facts in the light most favorable to the non-moving party. "*Scott v. Harris*" establishes that this standard is inapplicable when the evidence in the record blatantly contradicts the claims, to the extent that no reasonable fact-finder could believe them. The contradictions in Respondent's own statements, as presented in our case, clearly meet this threshold, rendering their defense not just implausible but legally insufficient for a trial.

### **III. ARGUMENT**

It must be noted that the Complainant added three sections to this argument, in addition to the arguments that have already been incorporated into the motion for summary judgment.

#### **A. Respondent Failed to Show The Alleged Fraud**

In response to the summary judgment, Respondent alleged that Complainant committed fraud. "Easy Shipping undoubtedly has a valid dispute against USL, mainly that the original agreement made in which four vehicles would be shipped was later fraudulently altered and without Easy Shipping's knowledge, and then later the Complainant tried to communicate

with a third party directly in order to hide these fraudulent acts.” ( *See*, Respondent’s Response to Complainant’s Motion for Summary Judgment ¶ 3, Mar. 13, 2024).

During the discovery, Respondent did not disclose or show any proof of the allegations.

**B. Respondent Failed to Narrow The Allegations During Discovery**

The reason for the Complainant’s request for discovery was to exchange and discuss any material facts that may narrow or end the allegation. The Supreme Court of California stated that "discovery serves several key purposes in litigation, including narrowing and clarifying the issues that will be presented to the court," *Burke v. Superior Court*, 71 Cal. 2d 276 (1969). Despite this, the Respondent did not effectively answer the interrogatories (Ex. N, CX\_116 to CX\_119).

**c. Violation of 46 U.S.C. § 41102(c): Respondent's Failure to Adhere to Just and Reasonable Practices as Mandated by 46 U.S.C. § 41102(c)**

False manifestation of cargo on a bill of lading and transportation of goods under tariff mis-declaration is a violation of 46 U.S.C. § 41102(c).

**1. Respondent has violated 46 U.S.C. § 41104(c):**

Before delving into the details of the violation, it is important to be informed that Complainant was not privy to the specifics of the return process and the invoices, as these were part of a private contract between Respondent and CMA. It was only in September 2023, when it became apparent Respondent had no intention of taking action to clear the container with Customs, that Complainant gained access to this information. As such, the subsequent

information and explanation provided herein are based on the final comprehension of the incident that the Complainant was able to piece together.

According to 46 U.S.C. § 41102(c), a common carrier, marine terminal operator, or ocean transportation intermediary is obligated to establish, observe, and enforce just and reasonable regulations and practices related to the receiving, handling, storing, or delivering of property.

Respondent, as a common carrier, has failed to adhere to these standards, particularly evident in its practice of delivering mis-declared cargo to CMA CGM S.A. (Ex. F, CX\_89).

## **2. Respondent Receipt Correct Information of the Cargo:**

Respondent has consistently acknowledged the identification of the cargo, a vehicle, across multiple documents, eliminating any dispute about the accuracy of the information received.

**(a) . Email Confirmation from Khalid Arwini:** Respondent confirmed in Exhibit A of its

Answer that it received an email from Khalid Arwini, clearly identifying the vehicle as a 2005 Toyota T (Ex. A, CX\_11).

**(b) . Bill of Lading and AES ITN:** Further, in Exhibit F, Respondent included its in-house

Bill of Lading along with the AES (Automated Export System) Internal Transaction Number (ITN), sent to Complainant to confirm the vehicle's title with U.S. Customs, specifying the vehicle as a 2005 Toyota Tundra (Ex. A, CX\_27).

**(c) . Vehicle Title Documentation:** Exhibit E provided by the Respondent contains the titles

of the vehicles, which unambiguously identify the vehicle as a 2005 Toyota Tundra (Ex. A, CX\_23).

(d) . **AES ITN Online Filing Confirmation:** Lastly, in Exhibit G, Respondent presented its AES ITN online filing documentation with U.S. Customs, affirming that the vehicle was filed with U.S. Customs as a 2005 Toyota Tundra (Ex. A, CX\_30).

### **3. Respondent Acknowledged That The Container Had Been Returned and Failed to File Importer Security Filing (ISF):**

The evidence unequivocally shows that the Respondent was fully aware of the impending return of the container yet failed to undertake the requisite legal action concerning the Importer Security Filing (ISF):

(a) **Acknowledgment of Mis-declared Shipment and Container Return:** In Exhibit K, Respondent has documented communication with CMA CGM S.A., where it is explicitly stated that the shipment had been mis-declared, and as a consequence, the container would be returned to the port of loading (Ex. A, CX\_44). This communication unequivocally indicates that the Respondent was informed about the mis-declaration and the resultant return of the container.

(b) **Failure to Act Despite Knowledge:** Despite possessing clear knowledge of the container's return, by the communication in Exhibit K as evidenced in (Ex. A, CX\_44), Respondent neglected to file the Importer Security Filing (ISF). This inaction is significant as the ISF is a critical requirement for ensuring that cargo entering the United States complies with U.S. Customs and Border Protection (CBP) regulations, designed to improve security and screening of the shipments.

(c) Respondent's receipt of information regarding the mis-declaration and subsequent return of the container, combined with their failure to file the necessary ISF, underscores a clear acknowledgment of the situation without the requisite follow-through on legal obligations. Therefore, there is no genuine dispute that the Respondent was aware of the container's return and neglected to perform the necessary legal duty of filing the ISF.

**D. Respondent's Failed to File Importer Security Filing (ISF) and Proper Designation of Return Shipment:**

Respondent, as a licensed Non-Vessel Operating Common Carrier (NVOCC) and freight forwarder, is unequivocally obligated under 19 CFR § 149.2 to file the Importer Security Filing (ISF) at least 24 hours before cargo is loaded onto a vessel bound for the United States. Despite this regulatory requirement, Respondent failed to file the ISF, as revealed through the documents and communications sent in May 2023. It was not until Complainant's intervention in September 2023 that the omission of the ISF filing was discovered, highlighting Respondent's neglect in completing the necessary processes for cargo clearance.

(a) **Failure to Fulfill Obligations:** Despite receiving the necessary documents, including the invoice for the initial shipping and the return freight invoice in May 2023, Respondent failed to undertake the crucial step of filing the ISF. This omission came to light only after Complainant's intervention in September 2023, revealing that not only had the ISF not been filed, but also that the necessary processes for clearing the cargo had not been executed by Respondent.

(b) **Consequences of Non-Compliance:** The failure to file the ISF and correctly designate the container as a return shipment signifies a breach of Respondent's legal

responsibilities as an NVOCC and freight forwarder. This oversight resulted in a failure to comply with the regulatory requirements for cargo entering the United States, potentially exposing the shipment and U.S. security to unnecessary risks.

#### **1. Underpayment of \$310.52 in The Return Basic Freight**

Complainant respectfully requests the Commission to note in its records that Complainant fulfilled its financial obligations by paying the basic freight fees and the return freight fees to Respondent. However, Respondent failed to remit the full amount to CMA, underpaying by three hundred dollars, which directly resulted in the container not being released (Ex. K, CX\_109).

(a) This shortfall not only escalated the issue but also led to the accrual of additional costs, including inspection fees, misconduct fees, and detention fees.

(b) Complainant made every effort to mitigate the damages arising from this situation.

Despite these efforts, Respondent's negligence and failure to appropriately handle the container's return process exacerbated the issue.

(c) It is crucial that Commission recognizes that Complainant's proactive measures to address the situation were hindered by Respondent's lack of diligence and proper action, which significantly contributed to the complications and additional expenses incurred. The shortfall in the payment of the return basic freight by \$310.52 is a critical point of concern.

(d) As evidenced in (Ex. K, CX\_109), CMA notified Complainant on September 20, 2023, that Respondent had only partially paid invoice NAOB0367804, resulting in a deficit of

\$310.52. It is important to highlight that this particular invoice, NAOB0367804, represents the return basic freight charge, a payment that is essential for the release of the cargo. The failure to pay this amount in full has directly impeded the process of repatriating the container back to the U.S.

- (e) Respondent's negligence in not nominating a shipper or consignee for the return of the cargo exacerbates the issue. This omission, coupled with the inadequate payment, constitutes an unjust and unreasonable approach to fulfilling their obligations as a common carrier. Such actions not only contravene the principles of fair and responsible carriage but also significantly hamper the efficient and orderly resolution of the shipment's return.

## **2. Respondent's Failure to Provide Bill of Lading for Review to Complainant:**

According to 46 CFR § 520.11(c)(iii), it is expected that a Non-Vessel Operating Common Carrier (NVOCC) issues a Bill of Lading to another NVOCC in cases of co-loading, creating a shipper-to-carrier relationship.

- (a) This regulation implies that the NVOCC receiving the cargo is obligated to supply the Bill of Lading to the NVOCC that arranged the shipment for the transportation of the co-loaded cargo. This requirement, as stipulated in federal regulations, highlights the importance of maintaining proper documentation in shipping arrangements, ensuring accuracy and compliance. Further details on this regulatory standard can be found in the Electronic Code of Federal Regulations by the Legal Information Institute.

(b) Had Respondent provided the draft bill of lading to Complainant, it would have allowed for a timely review and the opportunity to rectify any errors in the cargo description. This step is crucial, especially considering that if Respondent had adhered to the details in Complainant's dock receipt, they would not have erroneously reported the 'Tundra' as a '4Runner.' This oversight in following established procedures has led to complications in the shipping process.

### **3. Respondent's Failure to Adhere to Just and Reasonable Practices as Mandated by 46**

#### **U.S.C. § 41102(c):**

Complainant would like to specifically highlight an issue due to a significant breach of legal obligations by the Respondent. In our shipping industry, we focus on providing services rather than products. This context is important, especially considering that Respondent, after demanding the Complainant to pay the invoice for return basic freight #NAOB0367804 in July (Ex. G, CX\_93), failed to fulfill their own financial responsibility.

(a) From mid-May to the end of September, the Respondent did not fully pay this invoice, which demonstrates their approach towards business transactions and their responsibilities.

(b) Respondent's attitude is further illustrated in their unprofessional behavior and reliance on disclaimers to shirk responsibility. As stated in Paragraph 8 of their response, Respondent essentially implies that once they provided the booking and filed the bill of lading, their job was done, washing their hands of any further obligations.

- (c) This perspective is problematic and needs the Commission's attention Complainant, despite Respondent's attitude, could not independently resolve the situation because the full payment for invoice #NAOB0367804 was never received (Ex. G, CX\_93 ).
- (d) This hindered Complainant's ability to act promptly. The failure of Respondent to adhere to fundamental service principles – responsibility, prompt action, and professionalism – has been a significant barrier in this process.
- (e) This situation not only reflects a clear failure to meet the standards of just and reasonable practices outlined in 46 U.S.C. § 41102(c) but also exemplifies a deeper systemic issue within Respondent's operational ethos, warranting thorough examination and appropriate regulatory action.

#### **E. Respondent's Unreasonable General Denial**

Respondent's defense, characterized primarily by general denials and reliance on disclaimers, fails to meet the evidentiary standards established in pivotal Supreme Court rulings. In *Celotex Corp. v. Catrett*, 477 U.S. 317 (1986): This U.S. Supreme Court case is essential for summary judgment discussions. It holds that the moving party can obtain summary judgment without providing evidence to negate the opponent's claim; instead, they can point to the lack of evidence supporting the opponent's case. Also in *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242 (1986): This case discusses the quality of evidence required to oppose a motion for summary judgment, emphasizing that a mere scintilla of evidence or general denials is insufficient to prevent the granting of summary judgment. Furthermore, *Matsushita Electric Industrial Co., Ltd. v. Zenith Radio Corp.*, 475 U.S. 574 (1986): In this case, the Supreme Court explained that the non-moving party must do more than show there is some metaphysical doubt as to the material

facts. They must present specific evidence showing there is a genuine issue for trial. The Supreme Court also added in *Scott v. Harris*, 550 U.S. 372 (2007): that when evidence in the record blatantly contradicts the claims of the non-moving party, the court does not have to adopt a version of facts that is blatantly contradicted by the record, to the extent that no reasonable jury could believe it. In this case, the clear evidence presented leaves no room for reasonable dispute.

### **1. Respondent's Unreasonable General Denial and Reliance on Disclaimers:**

Respondent's response to the allegations is characterized by a general denial, underpinned by an unreasonable reliance on disclaimers, as notably indicated in their email signature (Answer ¶ 8; Ex. A, CX\_4). This approach raises significant concerns due to the absence of specific denials regarding key issues.

### **2. Failure to Deny Alteration in the Bill of Lading:**

Respondent has not contested the claim that they altered the bill of lading from a Tundra to a 4Runner, a critical issue that directly impacts the accuracy and integrity of the shipping documentation. The Respondent's failure to specifically address the allegation of altering the bill of lading reflects the principles outlined in *Celotex Corp. v. Catrett*. The absence of concrete evidence to counter this claim underscores the justification for summary judgment as Respondent does not demonstrate any substantial support for their position.

### **3. Lack of Denial Regarding the Non-Provision of the Original Bill of Lading:**

There has been no denial from Respondent regarding their failure to provide the original bill of lading to Complainant, which would have allowed for an opportunity to identify and

correct any errors. The Respondent's lack of explicit denial about not providing the original bill of lading aligns with *Anderson v. Liberty Lobby, Inc.*, which emphasizes the need for more than nominal evidence in opposition to a motion for summary judgment. Their general denial is insufficient to create a dispute over this material fact.

#### **4. Non-Denial of Failure to Report the Container as a Return Shipment:**

Respondent has not disputed their omission in reporting the container as a return shipment, an essential step in the shipping process to ensure proper handling and avoid unnecessary inspections. Respondent's silence on their failure to report the container as a return shipment and to manage its clearance resonates with the requirements set forth in *Matsushita Electric Industrial Co., Ltd. v. Zenith Radio Corp.* The absence of specific, contradictory evidence from Respondent necessitates the consideration of a judgment.

#### **5. No Denial of Incomplete Clearance Work:**

Additionally, Respondent has not denied their failure to fully manage the clearance of the container, an integral part of their responsibilities as a freight forwarder.

#### **6. Contradiction Between Dock Receipt and Shipping Instruction:**

The dock receipt unequivocally shows that the vehicle in question is a 2005 Toyota Tundra (Ex. A, CX\_27; Ex. F, CX\_89). In stark contrast, Respondent inaccurately reported on the shipping instruction that the vehicle was a 2017 Toyota 4Runner, as seen in the CMA CGM S.A. bill of lading (Ex. F, CX\_89). The blatant discrepancy in the documentation concerning the dock receipt and the shipping instruction is a critical point where Respondent's general denials

fall short. This is a factual matter that, under the standard set in Scott, cannot be reasonably disputed. The Supreme Court in Scott v. Harris held that when evidence in the record blatantly contradicts the claims of the non-moving party, the court does not have to adopt a version of facts that is blatantly contradicted by the record, to the extent that no reasonable jury could believe it. In this case, the clear evidence presented leaves no room for reasonable dispute.

## **F. MISREPRESENTATIONS AND CONTRADICTIONS IN RESPONDENT'S STATEMENTS**

In the matter before the commission, Complainant seeks to expose and address the series of misrepresentations, evidence manipulation, and contractual breaches committed by Respondent. This argument delves into the intricate details of Respondent's actions and statements, scrutinizing their credibility and legality under the purview of established shipping laws and regulations. By systematically breaking down Respondent's claims and defenses, Complainant aims to demonstrate the extent of Respondent's violations, particularly focusing on the provisions of 46 U.S.C. § 41104(a)(3) and § 41102(c). Complainant's position is fortified by a detailed analysis of communications, contractual obligations, and Respondent's failure to adhere to the principles of transparency, accuracy, and accountability in commercial shipping practices.

### **1. Exposing Respondent's Falsehoods and Manipulation of Evidence**

Complainant brings forth substantial evidence to counter the numerous misrepresentations and manipulative tactics employed by Respondent. The following argument seeks to meticulously dissect Respondent's claims, revealing a pattern of deceit, evasion of

responsibilities, and a blatant disregard for established shipping regulations and business ethics. Complainant presents a compelling case, grounded in factual accuracy and legal precedence, to expose Respondent's flawed narrative and underline their failure to adhere to the duties of an NVOCC and freight forwarder as mandated by federal law.

**a) Dismissal of Respondent's Unfounded Claim Regarding the Return of the Container Due to YAMAHA FX:**

In their response, Answer ¶ 3, Respondent contends that Complainant manipulated an email to omit the term "Yamaha." Contradicting this accusation, Respondent in its Exhibit A, presented by both Respondent, clearly displays the presence of "Yamaha" within the email (Answer ¶ 3; Ex. A, CX\_11). Respondent has not clarified their objection regarding this email. However, even if we were to hypothesize that the email's content was inaccurate, this would not alter the final determination for two key reasons: Primacy of the Dock Receipt in Shipper-Freight Forwarder Communication: The pivotal document guiding interactions between the shipper and the freight forwarder is the Dock Receipt, as stipulated in 46 CFR § 520.11(2)(C). The Dock Receipt in question accurately reflects the information, specifically naming the vehicle in accordance with its legal title, as substantiated by Respondent's Exhibit E (Ex. A, CX\_22). This evidence clearly validates the Complainant's provision of a precise and accurate Dock Receipt to Respondent.

Baselessness of the Container Return Claim Regarding the 2012 YAMAHA FX: The assertion put forth by Respondent that the container's return was due to the inclusion of a 2012 YAMAHA FX is unsupported. Communications from CMA, as referenced in Respondent Exhibit H ( see it as Ex. A, CX\_36), contain no indication that the container was returned on

account of a 2012 Yamaha (Ex. A, CX\_36). Respondent, upon a detailed review of these communications, would not have reasonably posited such a claim. CMA's correspondence included a request for images and a commitment to review the matter and update Respondent. To date, there is no additional information confirming whether CMA accepted or rejected the images (Ex. A, CX\_36).

The allegation by Respondent that the container was returned due to a 2012 YAMAHA FX is unsubstantiated. The evidence, particularly the emails exchanged with CMA CGM S.A., does not support any indication that the container was returned for this reason.

## **2. Respondent's Selective Quotation and Misreading of Complainant's Message:**

In Respondent's Answer ¶ 3, Respondent selectively quotes a message from Complainant in What's Up, where the Complainant notes, "There must be a typo in the loading plans," and references a 2017 4Runner (Ex. A, CX\_42). This text was sent after Complainant discovered the mis-declaration during efforts to release the container. Respondent attempts to misconstrue this cooperative inquiry by Complainant as an admission of error on the part of Complainant. This interpretation neglects the fact that Complainant initially provided the correct information and was merely attempting to address and resolve the issue diplomatically, rather than placing direct blame on Respondent (Ex. A, CX\_42).

## **3. Debunking Misrepresentations: Addressing Factual Inaccuracies in Respondent's**

### **Answer ¶ 13:**

Respondent claims that Complainant erroneously loaded a Tundra instead of a 4Runner, which is a clear misrepresentation of the facts (Answer ¶ 3; Ex. A, CX\_5). A straightforward examination of the dock receipt and the vehicle titles incontrovertibly demonstrates that

Complainant accurately identified the vehicle as a Tundra. This evidence directly contradicts Respondent's assertion and highlights their tendency to manipulate facts and shift responsibility. These actions by Respondent are indicative of a broader strategy to distort the truth and avoid taking responsibility for their errors. In stark contrast, Complainant has consistently provided correct information from the outset and has actively endeavored to rectify any issues arising from this situation. This difference in conduct underscores Complainant's commitment to accuracy and accountability, in stark contrast to Respondent's approach of evading responsibility and altering the facts to suit their narrative. Respondent's approach of evading accountability and manipulating facts.

#### **4. Countering Unfounded Allegations: Refuting Respondent's False Claims in Answer ¶**

##### **19:**

Respondent in Answer ¶ 19, falsely accuses Complainant of fraudulently contacting CMA, posing as an employee (Answer ¶ 19; Ex. A, CX\_6). This accusation is demonstrably untrue, as evidenced by the emails exchanges between Respondent and Complainant shows that Respondent knows the communication since September 2023 (Ex. A, CX\_53). The truth of the matter is clearly illustrated through these email correspondences, which show no such fraudulent conduct by Complainant. Further, Respondent's credibility is called into question by their submission of an email sent to CMA on December 20, 2023, after the filing of the lawsuit (Ex. A, CX\_67). In this email, Respondent alleges that Complainant acted without knowledge (Ex. A, CX\_67). However, this communication is dated post the initiation of legal action against Respondent, raising doubts about its relevance and accuracy. Respondent's efforts to obstruct communication between Complainant and CMA appear to be driven by a desire to conceal

multiple containers involved in similar issues, preventing Complainant from gaining access to potentially incriminating information. This obstructionist stance overlooks the fact that Complainant retains the right to subpoena CMA for information related to other violations. Respondent's claims in Answer ¶ 19 are not only baseless but also indicative of an attempt to mislead and obstruct the investigative process. Such actions are in direct contradiction to the principles of transparency and honesty required in legal proceedings. Respondent's broad denial, without addressing these specific allegations, indicates a concerning disregard for the detailed aspects of their contractual and legal obligations. This approach not only undermines the trust and reliability expected in professional shipping practices but also raises questions about Respondent's commitment to fulfilling their role responsibly.

## **5. Reckless Misconduct and Misinterpretation of Duties: Respondent's Failure in Reporting and Understanding Obligations:**

In Answer ¶¶ 5-7, Respondent acknowledges emailing to Complainant the Dock Receipt and the titles. However, Respondent failed to report the Toyota Tundra accurately to CMA as indicated in the Dock Receipt. Had Respondent properly conveyed the vehicle's description, it is highly probable that CMA would not have returned the container or might have refrained from loading it in the first place (Answer ¶¶ 5-7; Ex. A, CX\_3, 4).

The approach taken by Respondent in Answer ¶ 8 reflects a reckless mindset and a fundamental misapprehension of their duties as an NVOCC and freight forwarder. Under 46 U.S.C. § 41102(c), it is explicitly stated that a common carrier or ocean transportation intermediary must not fail to “establish, observe, and enforce just and reasonable regulations and

practices” in their operations, particularly concerning the receipt, handling, storage, or delivery of property (Answer ¶ 8; Ex. A, CX\_4).

Also in Answer ¶ 8, Respondent attempts to eschew responsibility, refusing to acknowledge their error in accurately filing the cargo description. They resort to a disclaimer, implying that Complainant or any other customer bears the responsibility for any charges and inspections by U.S. Customs. This stance raises questions about Respondent’s understanding of their regulatory obligations. The act of reporting an incorrect description negates Respondent’s ability to legitimately rely on such a disclaimer to deflect responsibility onto Complainant.

## **6. Addressing Distortions: Correcting Factual Errors in Respondent's Answer ¶ 14**

### **Assertions:**

In Answer ¶ 14, Respondent's claim that the "Complainant independently loaded into the container in Savannah, finding no Toyota 4Runner in the container" is a clear misrepresentation of the facts. The inaccuracy in the Respondent's statement is twofold (Answer ¶ 14; Ex. A, CX\_5).

Firstly, it was CMA, not Complainant or any other party, who determined that the vehicle was a Tundra and not a 4Runner. This discovery was made by verifying the Vehicle Identification Number (VIN) of the vehicle, which was initially provided by Complainant. Contrary to Respondent’s assertion, the container was not opened for this verification; CMA conducted the VIN check while the vessel was in transit.

Secondly, Respondent erroneously states that CMA 'found out' the vehicle was a Tundra. In reality, CMA identified the vehicle as a Tundra based on the VIN information, which contradicts

the description reported by Respondent. Had Respondent accurately reported the correct description of the cargo from the beginning, this situation could have been avoided.

Respondent's willingness to misrepresent these facts and shift blame is indicative of a broader issue with their approach to the situation. Their failure to accurately report the cargo description has directly led to the current complications and misunderstandings.

In conclusion, Complainant's meticulous examination of Respondent's responses and actions presents a clear trajectory of falsehoods, evasion of responsibility, and systematic manipulation of evidence.

#### **G. Legal and Procedural Shortcomings of Respondent**

In the present legal discourse, we meticulously examine the profound legal and procedural shortcomings of Respondent, particularly focusing on their inconsistent statements and overreliance on disclaimers, as evidenced in their responses to the allegations set forth by Complainant. This examination delves into Respondent's contradictory claims and the legal implications of their actions, which not only reflect a disregard for standard procedural norms but also raise significant questions about their professional conduct and adherence to legal obligations. By scrutinizing their responses, specifically in Answer ¶¶ 16 and 19, and their overarching reliance on disclaimers, we aim to unravel the complexities of the Respondent's defense strategy and demonstrate the inherent flaws and inconsistencies that pervade their narrative.

#### **1. Unraveling Inconsistencies: Analyzing the Respondent's Contradictory Statements in Answer ¶¶ 16 and 19:**

In Answer ¶ 16, Respondent falsely claims that the Complainant assumed full financial responsibility. This assertion is misleading and overlooks the sequence of events. The Complainant's involvement in resolving the issue began only after the Respondent ceased all efforts to manage the container's situation. Portraying the Complainant's attempts to mitigate the damages and facilitate the container's release as an assumption of full responsibility distorts the reality of the situation (Answer ¶¶ 16, 19; Ex. A, CX\_5, 6).

This misrepresentation becomes more egregious in light of Respondent's allegation in Answer ¶ 19, where they accuse Complainant of fraudulently contacting CMA CGM S.A. "without Respondent's authorization" on September 19, 2023. This accusation is contradictory to their earlier statement where they implied that Complainant had already taken on full financial responsibilities by September 8, 2023. Respondent's inconsistent claims raise serious questions about their credibility.

Complainant's actions were driven by a necessity to address the issue, given Respondent's inaction. Believing the container had been released, Complainant later discovered an outstanding balance of \$310, further complicating the situation.

Moreover, Respondent's attempt to portray Complainant's good-faith efforts as an unauthorized assumption of responsibility is unfounded. Complainant was compelled to act due to the Respondent's failure to clear the container. Respondent's email to CMA, dated December 20, 2023, claims Complainant acted without knowledge, blatantly ignoring the fact that Complainant was included in all relevant email communications. This late claim, made after legal proceedings had commenced, suggests an attempt by Respondent to deflect responsibility and misrepresent Complainant's efforts to address and rectify the situation.

In reference to the legal principles established in "*Matsushita Electric Industrial Co. v. Zenith Radio Corp.*" and "*Scott v. Harris*," Respondent's contradictory assertions do not satisfy the standard for reasonable inferences. Particularly, "*Scott v. Harris*" establishes that when evidence is clearly contradicted by the record, the standard of viewing facts in the light most favorable to the non-moving party is not applicable. The inconsistencies in the Respondent's statements preclude the establishment of a genuine dispute of material fact, as no reasonable interpretation could reconcile these contradictions.

Complainant's proactive measures were necessitated by Respondent's lack of action, especially evident when an unexpected outstanding balance of \$310 was discovered, contrary to the belief that the container had already been released (Ex. K, CX\_109). Furthermore, Respondent's late communication to CMA GMA S.A., post the commencement of legal action, appears to be a strategy to shift responsibility and mischaracterize Complainant's legitimate efforts to rectify the situation.

The evident contradictions in Respondent's statements, such as their conflicting claims in Answer ¶¶ 16, 19 regarding Complainant's actions and responsibilities, highlight a pattern of unreliable and shifting narratives. This pattern directly conflicts with the standards of credibility and consistency required in legal proceedings.

## **2. Inappropriate Reliance on Disclaimers by Respondent:**

Respondent's approach in this matter reflects an unreasonable reliance on disclaimers, particularly evident in their email signature. By presuming that Complainant was aware of and consented to these disclaimers, the Respondent overlooks their professional responsibilities as a

licensed and experienced freight forwarder. One of the key obligations in this role is to ensure accurate reporting of cargo descriptions, a duty mandated by both law and their professional license.

Furthermore, Respondent has neglected their responsibility to properly manage the return of the container. Instead of making full payment and accurately reporting it as a return shipment, they chose to underpay and disregard this crucial step. This raises a fundamental question about the extent of their responsibilities. Respondent seems to imply that their only obligations are to facilitate the booking, file the bill of lading, and secure the release. However, such a narrow interpretation of their duties is in direct contradiction with the broader responsibilities inherent in their role as a freight forwarder. The reliance on a disclaimer to absolve themselves of any mistakes or oversights in this process is both legally and professionally untenable. This situation underscores a significant lapse in Respondent's adherence to the standards and practices expected of a professional entity in the shipping industry.

The analysis of Respondent's statements and actions reveals a clear pattern of contradictions, misrepresentations, and an inappropriate reliance on disclaimers that go beyond the bounds of reasonable legal defense. The inconsistencies in their statements, particularly in Answer ¶¶ 16, 19, along with their failure to uphold professional standards as a licensed freight forwarder, significantly undermine the credibility and reliability of their defense. These issues are not mere oversights but point to a deeper problem of non-compliance with established legal and procedural norms. Complainant has effectively highlighted these shortcomings, making a compelling case that these inconsistencies and Respondent's failure to meet their professional obligations warrant a judgment for Complainant. Therefore, considering the evidence and

arguments presented, it is clear that Complainant's position is well-founded and merits favorable consideration. Respondent's actions and statements not only fail to meet the legal standards but also demonstrate a pattern of behavior that is inconsistent with the principles of good faith and fair dealing expected in commercial transactions.

#### **IV. DAMAGES SUSTAINED BY USL AUTO EXPORTING INC.**

It should be noted that the Complainant made every effort to mitigate the losses. However, the Respondent persisted in actions that resulted in the humiliation of the Complainant.

As a direct result of Easy Shipping's violation of the Shipping Act, Complainant suffered actual damages in an amount in excess of \$52,710.00. To mitigate the demurrage costs, Complainant intervened to pay CMA CGM S.A. directly. Respondent's violation of the Shipping Act gave rise to Complainant losing the payment of the original basic freight, return basic freight fees, mis-declaration fees, inspection fees, and the value of the cargo and cost of hualing and loading. Respondent steadfast refusal to work on the shipment left Complainant no choice but to pay such costs in advance. These costs are "actual injury" under 46 U.S.C. § 41305(a).

Breakdown of Damages:

- Original Freight (Invoice #NAOB0316822): \$2,865.00 (Paid by Claimant: \$3,300.00)
- Late Payment for Original Freight (Invoice #NAOB0337335): \$75.00
- Return Freight (Invoice #NAOB0367804): \$4,310.52
- Mis-declaration Fee (Invoice # NAOB0347101): \$2,000.00
- Return Inspection Fees (Invoice # NAIB1399975): \$2,306.00
- Cost of Vehicles:
  - 2005 Toyota Tundra (VIN: 5TBKT42115S468135): \$9,900.00
  - 2011 Kia Sorento (VIN: 5XYKT4A17BG175020): \$4,500.00
  - 2012 Yamaha FX SHO (VIN: YAMA3067B212): \$7,500.00
  - 2006 Lexus GX 470 (VIN: JTJBT20XX60123772): \$7,500.00
- Additional Costs Incurred by Complainant:
  - Loading Costs: \$800.00

- Towing Charges for Four Vehicles: \$1,800.00
- Loss of Profit (Calculated as 40% of the shipment value): \$12,000.00

Total Damages are \$52,710.00. These costs constitute "actual injury" under 46 U.S.C. § 41305(a), resulting from Respondent's failure to comply with the Shipping Act.

## **v. CONCLUSION**

In light of the compelling arguments and evidence presented by the Complainant, USL AUTO EXPORTING INC., it is evident that the Respondent, EASY SHIPPING CORPORATION, has engaged in a pattern of misrepresentation, contractual non-compliance, and procedural shortcomings that significantly undermine the integrity of their defense. The exhaustive analysis provided in this motion reveals clear violations of 46 U.S.C. § 41102(c) and § 41104(a)(3), demonstrating the Respondent's failure to adhere to the established legal and regulatory standards governing shipping practices.

Complainant has meticulously detailed instances where the Respondent's actions have contradicted their statements, particularly in Answer ¶¶ 16 and 19, and have relied inappropriately on disclaimers. This reliance is not only legally untenable but also indicative of a lack of professional diligence. Such inconsistencies and evasions of responsibility bring into question the Respondent's credibility and highlight a disregard for the essential principles of accuracy, transparency, and accountability in commercial shipping.

Furthermore, the Complainant's efforts to mitigate damages and address the issues arising from the Respondent's negligence have been met with obstruction and false allegations, further compounding the harm caused. This conduct, characterized by a pattern of shifting narratives and

unreliable claims demonstrating that the evidence in the record blatantly contradicts the claims of Respondent to the extent that no reasonable fact-finder could believe them.

Therefore, considering the totality of the evidence and arguments presented, it is clear that there is no genuine dispute of material fact warranting a trial. The Complainant has substantiated their claims with sufficient evidence and legal backing, warranting the granting of a judgment for the Complainant.

The Honorable Commission is respectfully requested to recognize the validity of the Complainant's position and grant a judgment, thereby upholding the principles of justice and regulatory compliance in the maritime shipping industry.

DATED: June 20, 2024,

Respectfully submitted,

USL AUTO EXPORTING INC.,

By: /s/ ANIS HOUSSEIN

ANIS HOUSSEIN

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New Jersey 08854

Tel.: (862) 338-0889

Vice President for COMPLAINANT

USL AUTO EXPORTING INC.

## **CERTIFICATE OF SERVICE**

I HEREBY CERTIFY that on the 20th day of June 2024, a true and correct copy of the foregoing BRIEF was served via electronic mail on:

EASY SHIPPING CORPORATION  
([fracati@rafatilegal.com](mailto:fracati@rafatilegal.com))

/s/ ANIS HOUSSEIN  
Anis Houssein

Vice President for COMPLAINANT  
USL AUTO EXPORTING INC.,